

Paradiem

The Morning Brief

SEPTEMBER 2, 2026

Oil Squeeze

Two-tanker strike drove Brent above \$95 and WTI +5% Tuesday, dragging equities lower into ADP, the Beige Book, and Broadcom fiscal Q3.

S&P 500 (SPY, TUE CLOSE)	NASDAQ (QQQ, TUE CLOSE)	WTI OIL (USO, TUE CLOSE)	BRENT (OVERNIGHT)	FEAR & GREED (CNN)
\$761.78 · ↓0.69%	\$707.64 · ↓1.27%	\$141.00 · ↑5.46%	~\$94.86 · ↑~5% Tue, near July high	31 · Fear (drop crypto fallback)

SECTION 01

Markets — Tuesday’s Two-Tanker Strike Drove WTI ↑5.46% to \$141 (USO) and Brent Near \$95 as the S&P Gave Back ↓0.69% and the Nasdaq ↓1.27% on a Tech-Led Compression; Rates and Metals Sold With Equities as the Dollar Bid Rebuilt Into ADP, the Fed Beige Book, and Broadcom’s Fiscal Q3 Release After the Close Today

TUESDAY’S TAPE: THE PHYSICAL-SUPPLY BID COMPOUNDED ON THE MONDAY BASE AS TWO TANKERS WERE STRUCK OVERNIGHT AND THE SELLING BROADENED BEYOND UTILITIES TO TECH, DISCRETIONARY, AND INDUSTRIALS — DEFENSIVE POSITIONING REBUILT ACROSS UTILITIES, STAPLES, AND HEALTHCARE WHILE GOLD SOLD OFF ALONGSIDE DURATION IN AN UNUSUAL MULTI-ASSET COMPOSITION

Per data drop, the S&P 500 (SPY) closed ↓0.69% at \$761.78, the Nasdaq (QQQ) ↓1.27% at \$707.64, the Dow (DIA) ↓0.72% at \$527.75, and the Russell 2K (IWM) ↓1.14% at \$290.57 as the UVXY VIX proxy advanced ↑4.73% to \$18.82 — a broader compression than Monday’s narrow tape as the Iran-retaliation composition compounded through the session. Per data drop sector reads, Energy (XLE) led ↑1.27% at \$64.77, Utilities (XLU) rebounded ↑0.78% at \$42.56 as EIX (see Radar) reversed higher on a California judicial development, Healthcare (XLV) held ↑0.66%, and Staples (XLP) ↑0.32%, while Discretionary (XLY) closed ↓1.72%, Technology (XLK) ↓1.53%, and Industrials (XLI) ↓1.37%. Per data drop commodity reads, WTI (USO) surged ↑5.46% to \$141.00 and Brent (BNO) ↑5.15% to \$55.56 as gold (GLD) sold off ↓2.86% to \$396.75 and silver (SLV) ↓3.68% — a rarely-observed composition of a physical-oil bid coincident with a defensive metals unwind that historically tends to reflect a dollar and real-yield bid rather than a pure risk-off signal. Per data drop, TLT closed ↓0.79% at \$81.87 as the front-end curve continued to price the post-Warsh reset. Per Trading Economics and Reuters coverage of the Brent tape response, November delivery moved to approximately \$94.86 into the overnight session on the composite two-tanker read carried forward from Tuesday. For FCI positioning, the composition — a two-tanker physical-supply shock, a broader tape compression, and a defensive-sector rebuild against a dollar bid strong enough to sell gold — sequences the ADP and Beige Book cadence through a Front-End-Rate-Plus-Oil frame today.

S&P 500 (SPY, TUE CLOSE)	\$761.78 · ↓0.69%
NASDAQ (QQQ, TUE CLOSE)	\$707.64 · ↓1.27%
ENERGY (XLE, TUE CLOSE)	\$64.77 · ↑1.27%
DISCRETIONARY (XLY)	\$114.59 · ↓1.72%
WTI OIL (USO)	\$141.00 · ↑5.46%
GOLD (GLD)	\$396.75 · ↓2.86%
TLT (20Y BOND)	\$81.87 · ↓0.79%
SEPT HIKE ODDS (CME)	~65–68% · per FedWatch

TODAY'S CADENCE: ADP NATIONAL EMPLOYMENT REPORT AT 8:15 AM ET (CONSENSUS ~+47K) PRECEDES THE FED BEIGE BOOK AT 2:00 PM ET, AND BROADCOM'S FISCAL Q3 RELEASE AFTER THE CLOSE IS THE MARQUEE AI-SEMICONDUCTOR PRINT BETWEEN NVIDIA'S AUGUST 27 BEAT-AND-RAISE AND FRIDAY'S AUGUST EMPLOYMENT REPORT; CREDO BEAT FISCAL Q1 CONSENSUS TUESDAY NIGHT ON \$479 MILLION REVENUE BUT THE STOCK TRADED ↓~4% AFTER HOURS, WHILE DELL TRADED HIGHER ON A RECORD \$95 BILLION AI BACKLOG

Per FXStreet and ADP release calendar coverage, the ADP National Employment Report publishes at 8:15 AM ET with sell-side consensus near approximately ↑47,000 August private-payroll additions versus the July print of ↑44,000, and per Federal Reserve calendar, the Beige Book publishes at 2:00 PM ET — the district-level qualitative read into next week's FOMC preparation window. Per Barchart and Tickeron previews, Broadcom (AVGO, not held by FCI) releases fiscal Q3 results after the close on sell-side consensus centered on

approximately \$29.4 billion of total revenue, approximately \$3.30 non-GAAP EPS, and roughly \$16 billion of AI-semiconductor revenue — the options market prices an approximate ±8.7% implied move around the print. Per data drop and Credo's Tuesday-evening release captured on Seeking Alpha coverage, Credo Technology (CRDO, FCI Growth-Hybrid) reported fiscal Q1 revenue of approximately \$479 million (up approximately 115% year over year) and non-GAAP EPS of approximately \$1.20 versus the \$1.19 consensus captured in the data drop, with Q2 revenue guidance of approximately \$525–\$535 million; per data drop, CRDO closed the regular session ↓8.65% at \$206.63 and per Benzinga coverage of the after-hours tape, shares traded modestly lower after the release. Per Benzinga and 24/7 Wall St. coverage of Dell Technologies (DELL, not held by FCI), the company reported Q2 fiscal 2027 EPS of approximately \$7.04 against approximately \$4.88 consensus on approximately \$46.97 billion of revenue, an AI-order backlog approaching \$95 billion, and raised full-year revenue guidance to approximately \$192 billion — the after-hours tape traded meaningfully higher on the print. For FCI positioning, the composition — a Day-2 labor read at 8:15 AM ET, the Beige Book at 2:00 PM ET, and an AVGO print after the close that sets the incremental custom-silicon-hyperscaler distribution for the FCI Growth-Hybrid sleeve — sequences three orthogonal releases into a rate-and-earnings frame against an active Middle East retaliation sequence.

A session that layered a physical-oil surge onto a broader tape compression while gold sold with duration tends to reflect a real-yield-plus-supply bid the multiple is still absorbing rather than a completed risk-off rotation. Physical world matters.

Geopolitics — Two Oil Tankers Were Struck With Projectiles in the Strait of Hormuz Monday Evening — One Saudi-Owned and One South Korean-Owned — and Iran Fired Missiles at US Bases in Jordan, With Kuwait and Bahrain Also Reporting Iranian Drone Activity; Trump Warned Tehran That Any Further Retaliation Would Draw a Response “At a Much Harder and Higher Level” While the Administration’s Weekly Secondary-Sanctions Cadence and the Ukraine-Russia Refinery Axis Sat Alongside in the Background

THE MONDAY-INTO-TUESDAY SEQUENCE: TWO TANKERS — ONE SAUDI-OWNED AND ONE SOUTH KOREAN-OWNED — WERE STRUCK WITH PROJECTILES IN THE STRAIT OF HORMUZ MONDAY EVENING AS THE US-IRAN EXCHANGE BROADENED BEYOND JORDAN, KUWAIT AND BAHRAIN REPORTED IRANIAN DRONE ACTIVITY, AND TRUMP PUBLICLY WARNED TEHRAN OF A “MUCH HARDER AND HIGHER LEVEL” RESPONSE TO ANY FURTHER RETALIATION

Per CNBC, Times of Israel, and CBS News coverage of the Monday-into-Tuesday sequence, two crude tankers — one Saudi-owned and one South Korean-owned — were struck by projectiles in the Strait of Hormuz Monday evening as the reactivated US-Iran military exchange broadened from the King Hussein and Al Azraq US bases in Jordan to include Iranian drone activity reported over Kuwait and Bahrain; per Fox News Digital and RFE/RL coverage of the White House posture, President Trump publicly warned Tehran that any further retaliation for what he characterized as a “very justified attack” on the Larak Island rocket launchers would be met “at a much harder and higher level,” and Vice President Vance characterized Sunday’s AI-generated Kharg Island post as a communication signal to Tehran per prior brief coverage. Per data drop commodity reads and Trading Economics coverage of the Brent tape, USO closed $\uparrow 5.46\%$ at \$141.00 and BNO $\uparrow 5.15\%$ at \$55.56 with Brent for November delivery near \$94.86 overnight — the highest level since late July per Trading Economics coverage. Per Reuters coverage carried forward from prior briefs, Treasury Secretary Bessent has reaffirmed that new US secondary sanctions on Iran-linked entities should be expected on approximately a weekly cadence, extending the enforcement perimeter widening captured in the Egyptian and Emirati bank-branch designations from prior sessions. For FCI positioning, the composition — a two-tanker projectile strike, an expanded drone-and-missile signature across Jordan, Kuwait, and Bahrain, and a White House posture that explicitly promises escalatory follow-through — keeps the FCI energy sleeve (CVX, CNX, OKE) reading through the intersection of a widened physical-supply variable and the reactivated US-Iran military-exchange axis into the September 15–16 FOMC.

THE FED-INDEPENDENCE OVERHANG FROM CHAIR WARSH’S JACKSON HOLE REFERENCE TO A TREASURY-FED BALANCE-SHEET TASK FORCE PERSISTS INTO SEPTEMBER FOMC PREPARATION AS CME FEDWATCH CONTINUES TO PRICE A SEPTEMBER RATE INCREASE NEAR APPROXIMATELY 65–68%, AND THE SEPTEMBER 24 TRUMP-XI WASHINGTON SUMMIT SITS FOURTEEN BUSINESS DAYS AHEAD OF THE NOVEMBER 10 KUALA LUMPUR TRUCE EXPIRY

Per Forbes and CNBC coverage of the CME FedWatch state Tuesday morning, September rate-hike probabilities sit near approximately 65–68% into the pre-market versus roughly 36% Thursday pre-Warsh — the front-end curve continuing to absorb the post-Warsh reset rather than the incremental Iran-retaliation composition. Per Federal Reserve calendar and prior brief coverage of Warsh’s Jackson Hole keynote, the reference to a Fed-Treasury balance-sheet framework task force continues to sit alongside the Bessent-Warren public

exchange on Japanese yen intervention posture, sustaining a Fed-independence overhang into the September 15–16 FOMC. Per Bloomberg, Fortune, and CSIS coverage carried forward from prior briefs, the administration continues to prepare an incremental 7.5% overcapacity tariff on Chinese goods designed to bring the aggregate US-China tariff burden toward the roughly 20% level Beijing has signaled as consistent with the current truce, with the announcement engineered around the September 24 Xi Washington state visit and the November 10 Kuala Lumpur truce expiry sitting further out. For FCI positioning, the composition — an active Iran physical-supply variable, a persistent Fed-independence overhang, and an advancing US-China tariff track — extends the trade-and-geopolitical compound the sleeve has been reading through the third quarter and into the fourth.

UKRAINE'S DEEP-RANGE DRONE CAMPAIGN AGAINST RUSSIAN REFINERIES CONTINUES IN THE BACKGROUND FOLLOWING THE KIRISHI (LENINGRAD OBLAST) STRIKE OVER THE PRIOR WEEKEND — RUSSIAN REFINING SITS NEAR MULTI-DECADE LOWS AND THE DIESEL EXPORT BAN REMAINS EXTENDED

Per prior brief coverage of the Ukrainian deep-strike campaign carried forward through the Monday-into-Tuesday sequence, Ukrainian forces continue the deep-range refinery campaign that struck the Kirishi (Leningrad Oblast) refinery over the prior weekend — the country's second-largest by capacity with an approximate 20-million-tonne annual processing capacity — and per prior brief coverage citing Moscow

Times, Russian oil refining has fallen to approximately 3.8 million barrels per day, approaching the lowest level in more than two decades. Per Ukrainska Pravda coverage of the Russian policy response, the Russian diesel export ban remains extended. For FCI positioning, the composition — a two-sided physical-friction expression across the Iran and Russia axes with the Middle East axis now the front-of-book variable after the two-tanker strike Monday evening — keeps the FCI energy sleeve reading through the intersection of physical supply, the reactivated Iran military-exchange axis, and the September rate-hike distribution.

SECTION 03

On Our Radar

1. Credo Technology (CRDO, FCI Growth-Hybrid Sleeve) Reported Fiscal Q1 After the Close Tuesday: Revenue of Approximately \$479 Million Beat the ~\$472 Million Consensus and Marked the Seventh Consecutive Quarter of Triple-Digit Year-Over-Year Growth (Approximately ↑115%); Non-GAAP EPS of Approximately \$1.20 Topped the Data-Drop Consensus of \$1.19 and Q2 Revenue Guidance of Approximately \$525–\$535 Million Ran Above the Sell-Side; the Regular Session Closed ↓8.65% at \$206.63 and After-Hours Traded Approximately Modestly Lower per Benzinga Coverage. Per Seeking Alpha, StockTitan, and Benzinga coverage of the Tuesday after-close release, Credo reported fiscal Q1 revenue of approximately \$479 million (up approximately 115% year over year and approximately 10% sequentially) versus the roughly \$472 million sell-side consensus, non-GAAP gross margin of approximately 68%, non-GAAP operating income of approximately \$230.6 million (approximately 48.2% operating margin), and non-GAAP EPS of approximately \$1.20 versus the \$1.19 consensus captured in the data drop — the seventh consecutive quarter of triple-digit year-over-year revenue growth. Per Benzinga coverage of the after-hours tape, shares traded modestly lower despite the beat and Q2 guidance for revenue of approximately \$525–\$535 million. Per data drop, CRDO closed the regular session ↓8.65% at \$206.63 on pre-earnings de-risking. For FCI positioning, the composition — a beat-and-raise on the top-line, a modestly lower after-hours reaction on stretched expectations, and the incremental read into AVGO's custom-silicon print tonight — keeps the Growth-Hybrid sleeve reading through the AI-connectivity axis rather than treating the after-hours reaction as a directional signal on the fiscal-2027 setup.

2. Dell Technologies (DELL, Not Held by FCI) Reported Fiscal Q2 2027 Results Tuesday After the Close: Approximately \$46.97 Billion of Revenue Beat the ~\$44.9 Billion Consensus, EPS of Approximately \$7.04 Topped the \$4.88 Consensus, AI-Order Backlog Reached Approximately \$95 Billion (Approximately \$60.9 Billion of Fresh Q2 Bookings Against Approximately \$16.4 Billion of AI-Server Revenue Recognized in Q2), and Full-Year Revenue Guidance Was Raised to Approximately \$192 Billion With Q3 Revenue Guidance of Approximately \$49 Billion Implying Approximately 81% Growth; the After-Hours Tape Traded Approximately ↑9%. Per Benzinga, 24/7 Wall St., and CNBC coverage of Dell's Tuesday-evening release, the company reported Q2 2027 revenue of approximately \$46.97 billion versus consensus of approximately \$44.92 billion, non-GAAP EPS of approximately \$7.04 versus approximately \$4.88 consensus, Infrastructure Solutions Group (ISG) revenue up approximately 89% to approximately \$31.8 billion (approximately 15% operating margin), an AI-order backlog approaching \$95 billion after approximately \$60.9 billion of fresh Q2 bookings against approximately \$16.4 billion of Q2 AI-server revenue recognized, Client Solutions Group (CSG) revenue up approximately 20%, Q3 revenue guidance of approximately \$49 billion (approximately ↑81% year over year) at approximately \$6.50 EPS, and full-year revenue guidance raised to approximately \$192 billion (approximately ↑70% year over year); the after-hours tape traded meaningfully higher on the print. For FCI positioning, the composition — a large AI-server print with a \$95 billion backlog and above-consensus forward guidance from a hyperscaler-exposed OEM — carries the incremental read into AVGO's fiscal Q3 release tonight for the sleeve names (AMD, NVDA, TSM, MRVL, CRDO) rather than a direct holdings-level exposure.

3. Today's Session Cadence — ADP National Employment Report at 8:15 AM ET (Consensus ~+47K) Precedes the Fed Beige Book at 2:00 PM ET, and Broadcom (AVGO, Not Held by FCI) Reports Fiscal Q3 After the Close on Consensus ~\$29.4 Billion of Revenue, ~\$3.30 Non-GAAP EPS, and Approximately \$16 Billion of AI-Semiconductor Revenue; the Options Market Prices an Approximate ±8.7% Implied Move Around the Print. Per FXStreet and ADP release-calendar coverage, the ADP National Employment Report publishes at 8:15 AM ET with sell-side consensus centered on approximately 47,000 August private-payroll additions versus the July print of 44,000, and per Federal Reserve calendar, the Beige Book publishes at 2:00 PM ET. Per Barchart, Tickeron, and Earnings Watcher coverage of the AVGO release scheduled after the close, sell-side consensus centers on approximately \$29.4 billion of total revenue, approximately \$3.30 non-GAAP EPS, and roughly \$16 billion of AI-semiconductor revenue (an approximate 200% year-over-year growth), with the options market pricing an approximate ±8.7% implied move around the print. Per Federal Reserve calendar, the September 15–16 FOMC sits thirteen calendar days from today's cash open and ten calendar days from Friday's August payrolls release. For FCI positioning, the composition — a labor read at 8:15 AM ET, the Beige Book at 2:00 PM ET, and AVGO's custom-silicon print tonight into an active Middle East retaliation sequence — sequences the September rate-decision distribution against three orthogonal releases in a single trading day.

4. Edison International (EIX, FCI Growth-Hybrid Sleeve) Reversed Sharply Higher on Tuesday — Closing ↑8.93% at \$58.80 — After a California State Court Judge Tentatively Declined to Hold Southern California Edison Automatically Liable for a 2025 Wildfire Under Insurance-Company Subrogation Claims Ahead of a Full Trial; the Move Retraced Approximately 39% of Monday's ↓23.07% California-SB-492 Shock. Per Investing.com and Seeking Alpha coverage of the Tuesday session, EIX closed ↑8.93% at \$58.80 — the largest single-session bid since the Monday shock — after a California state court judge tentatively declined to hold Southern California Edison automatically liable for a 2025 wildfire without a trial under insurance-company subrogation claims, a discrete judicial read that partially offset Monday's ↓23.07% California-SB-492 liability-cap-strip shock. Per Investing.com coverage of the sell-side response, BofA Securities cut EIX to Neutral from Buy with a price target reduced to approximately \$51 from \$86, and UBS separately trimmed the price target on the wildfire-reform setback per Investing.com. Per data drop, the Utilities sector (XLU) closed ↑0.78% on the composite EIX bounce. For FCI positioning, the composition — a partial retracement on discrete California judicial development against a widened forward-liability distribution —

keeps EIX in the sleeve as a single-name California-regulatory expression rather than a completed reversal signal.

5. Sector-and-Holdings Composition Tuesday — The Growth-Hybrid Sleeve Absorbed the Tech Compression With FTNT ↓5.31% at \$161.85, AEM ↓4.75% at \$193.46, SOFI ↓4.64% at \$17.05, FCX ↓4.32% at \$72.47, LRCX ↓3.74% at \$290.20, and NOW ↓3.44% at \$142.90 While the Energy-and-Utility Rebuild Carried CVX ↑2.38% at \$211.05, CNX ↑3.24% at \$37.56, CEG ↑2.02% at \$280.31, and NEE ↑0.72% at \$82.93. Per data drop FCI holdings reads, the Top-5 movers Tuesday were EIX ↑8.93% (\$58.80), HRMY ↑4.75% (\$41.25), CNX ↑3.24% (\$37.56), NTR ↑2.86% (\$77.69), and CVX ↑2.38% (\$211.05), while the Bottom-5 were CRDO ↓8.65% (\$206.63), FTNT ↓5.31% (\$161.85), MARA ↓5.01% (\$10.23), AEM ↓4.75% (\$193.46), and SOFI ↓4.64% (\$17.05). Per data drop, LMT closed ↓2.98% at \$544.50 and CAT ↓2.30% at \$779.16 on the composite defense-and-industrials read, and IBIT closed ↓2.04% at \$43.76 with ETHA ↓2.62% at \$18.23 as the digital-asset ETF sleeve reversed Monday's modest bid on the front-end-rate-and-dollar composition. For FCI positioning, the composition — a broad Growth-Hybrid compression against a narrow Energy-and-Utility rebuild — keeps the sleeve reading through the intersection of the two-tanker physical-supply variable and the September rate-hike distribution.

6. Carson's SPY \$645.80 Support Remains Active — Tuesday's \$759.48 Intraday Low Left the Level Untouched and Sits Approximately 15.2% Below the \$761.78 Cash Close; No Active Resistance Levels on the Book Following the April 14 Major-Zone Breakout. Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Tuesday's \$759.48–\$764.67 SPY intraday range per data drop and sits approximately 15.2% below the last cash-market print at \$761.78. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone (both hit that session). With today's cash open sequencing the ADP release at 8:15 AM ET, the Fed Beige Book at 2:00 PM ET, and AVGO's fiscal Q3 print after the close, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the sequence. Note: the data drop Fear & Greed reading of 63 “Greed” reflects the CNN endpoint falling back to the crypto index; per CNN Fear & Greed tracking coverage as of the Tuesday session, the CNN stock-market reading sat near approximately 31 “Fear” — treat as approximate for this brief.